



“[As many as] 26 million Indians were travelling abroad for a holiday but that [number has come down]... because of visa delays, high costs of air travel [and] accommodation abroad, etc. [Now] they are looking at exploring the country and newer destinations”

CHANDER K. BALJEE, CHAIRMAN AND MD, ROYAL ORCHID HOTELS

According to Zubin Saxena, Managing Director and Senior Area Vice President-South Asia, Radisson Hotel Group, his chain has over 150 hotels in operation and development across 60-plus locations in India. “Nearly half of our portfolio is concentrated in Tier II and III markets, where we have benefitted from being the first movers. Towns like Gorakhpur, Ranchi, Guwahati, Nagpur, and Bhopal had Radisson Hotels well ahead of time, integrating us into their cultural fabric with local roads named after the brand,” he says.

THE CHALLENGES

Running hotels in small towns and cities, however, is no cakewalk. Trained manpower is a concern. Lemon Tree’s Singh says it’s less of an issue for a chain like his because it regularly rotates the management. Sarovar’s Bakaya, however, feels that connectivity is a bigger challenge. “The success of a hotel depends on ease of access. Very often you have a city with a sizeable population but very difficult to get to,” he says. The biggest challenge, though, is the cost of land. “Smaller cities don’t necessarily mean cheaper land. Your cost of development is almost the same. So, cost ends up being similar but you are not getting the room rents of a larger city,” says Bakaya.

For instance, for a luxury hotel, the cost is ₹1 crore upwards for

a room versus ₹40 lakh for an economy level room, and you can get twice the number of rooms in economy in the same land area. The focus therefore, Bakaya says, should be on smaller properties in the 4- and 3-star categories, adding that Sarovar doesn’t look at anything smaller than 50 rooms.

Jain of Pride says the biggest factor in making a hotel profitable is to control costs. He adds that it takes lesser time to become profitable in a Tier II or III city than in a metro or a semi-metro one. That’s because manpower costs are reasonably low in these cities, power costs can also be lower, while raw material costs are also lower. “Our hotels in Jaipur, Puri and Indore started making profits from the second year, after breaking even in the first year itself,” says Jain. Comparatively, a metro takes two to three years to break even. Add to that, room rates in Tier II locations have gone up. “Earlier they were half the amount of semi-metros but now they are hardly 10-15 per cent lower,” says Jain. Pride, which expects to clock a turnover of ₹300 crore this year, plans to have 100 hotels under management by 2030.

Another interesting aspect is that when it comes to managed hotels in Tier III and IV locations, Indian hotel owners prefer tying up with home-grown brands. “Indian owners draw comfort in the fact that the country’s top domestic ho-

tel operators own a sizable number of hotels in their portfolios and are not only pure-play management companies like some international hotel operators,” says Mandeep S. Lamba, President (South Asia) of hospitality consultancy HVS Anarock. Agrees Lemon Tree’s Singh. “Lemon Tree [with 5,000-plus rooms] is the third-largest owner of hotel rooms in India. So, that gives a lot of confidence to the hotel owners because they feel that we understand the pain of a hotel owner better than someone who doesn’t own any assets,” he says. Lamba says that other factors that work in home-grown chains’ favour are getting access to the highest decision-making level in the operating company’s hierarchy and greater flexibility in product configuration.

Meanwhile, the hospitality sector is continuing to witness strong year-on-year growth. The year ended with a 90 per cent y-o-y growth in RevPAR (revenue per available room) for calendar year 2022 over 2021, as per JLL’s latest ‘Hotel Momentum India’ report. As connectivity improves and demand for hotels in small-town India grows, this is only likely to rise. And as this happens, Gulati can continue to look forward to a comfortable stay when he travels to small-town India on business. **BT**

@smitabw